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UNITED STATES DELEGATION
TO THE SEVENTH GENERAL ASSEMBLY

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MEMORANDUM OF CONVERSATION (Oct 20)

October 21, 1952
(Typed October 25, 1952)

Subject: Call of Chinese Foreign Minister George Yeh on the Secretary, at the United States Mission to the United Nations, New York October 20, 1952, at 4:30 P.M.

Participants: The Secretary of State
Chinese Foreign Minister, George Yeh
Ambassador David McK.Key, U. S. Delegation
Mr. Walter P. McConaughy, Director, Office of Chinese Affairs, Department of State

Copies to: USDEL 7th GA
Ambassador Jessup
Ambassador Key
Ambassador Muccio
Mr. Ross
Mr. Taylor
Mr. Henkin - Mr. Popper
Secretary General
Reference

Dept of State (20 copies)
Distribution to be determined by S/S

U. S. Assistance

The Foreign Minister expressed his appreciation of the courteous reception accorded to him by representatives of the State Department upon his arrival in the United States. He then said that his Government was deeply appreciative of the generous military and economic assistance which the United States Government was extending to his Government. He said that United States aid was being used to better advantage in Formosa than ever it had been on the Mainland. The Foreign Minister expressed the hope that deliveries of "military hardware" could be accelerated somewhat.

The Secretary said that prospects were good for improved deliveries. The U. S. authorities were concerned about the lag in deliveries to Taiwan. The delayed arrival of aircraft was especially regrettable. However, the

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By NLT-NC NARS, Date 10-22-10

Chinese Government had not been discriminated against. Priority, of course, had to be given to Korea and Indochina, where active fighting was in progress. Apart from these two theaters, Formosa was receiving treatment as favorable as any other area. The Secretary said that he had recently talked to officials working on supply matters and had been assured that the production outlook was hopeful. The main effort heretofore had been directed to the expansion of productive facilities. The tooling-up process is necessarily slow and expensive, but output will be much larger when the process is completed. An effort is being made to have the productive capacity ready without awaiting the onset of a major emergency. A steady stream of production will then be maintained, avoiding sharp fluctuations in the rate of production.

The Foreign Minister said that his Government has been hopeful of receiving larger numbers of F-47 aircraft, which are understood to be "in mothballs." Also the need for larger deliveries of 75 millimeter guns is pressing. Some guns of this caliber have been delivered, but the supply is insufficient.

The Foreign Minister said that his Government was striving hard to balance its budget. The budget is now only 6% out of balance and for the approaching fiscal year it is hoped to reduce the deficit to 5%. This compares with a budgetary deficit of 80% before the Government left the Mainland. The Minister said that in the old days Generalissimo Chiang Kai-shek had exclusive executive authority. Some of his decisions were right, but he made some mistakes too. The former administration of the military budget was especially weak. Now every issue, fiscal or otherwise, goes before the Executive Yuan. The Executive Yuan has an opportunity to pass on every policy matter.

The Secretary expressed his gratification at the noteworthy progress recently made by the Nationalist Government in various fields. He said that he had observed developments in Formosa with interest and with general satisfaction. He said that the United States authorities wanted to be helpful in every way possible. He mentioned the pending MAAG Administrative Agreement, which in all probability will be signed in the near future.

Korean Truce Prospects.

The Foreign Minister turned to the subject of Korea. He asked if in the event of a truce the line of demarcation would be the 38th parallel, or the existing front.

The Secretary said that we would not accept anything less than the existing battle line, which was mostly north of 38 degrees.

The Foreign Minister remarked that a settlement based on the present

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line would be unsatisfactory. It would not achieve the announced UN objective of a "free, united and democractic Korea." At the same time, he recognized that Korea was a very disadvantageous theater of operations for the United States military forces.

The Secretary confirmed that Korea is a disadvantageous and expensive locale for the operations of our forces. Fully one-third of our military forces are engaged in the United Nations effort in Korea. The consumption of military resources, such as oil products, is enormous. It is difficult to contemplate an indefinite continuation of the fighting with the accompanying heavy casualties when there is no satisfactory settlement in sight.

The Foreign Minister asked if there was a real expectation or only a hope of a truce. He asked also whether it was the Russians or the Chinese Communists who were most interested in coming to a truce agreement.

The Secretary said that we are not sanguine about truce prospects, unless more pressure can be applied. At present the factors for and against a truce are more or less in balance in the minds of the Communists. They are very glad to see the considerable expenditure of U. S. resources and the general U. S. and U. N. impatience with the inconclusive course of the fighting.

On the other hand, the Russians are feeling the strain also. The supply requirements are heavily taxing Russian transportation facilities. The Russians are at a disadvantage in having to send most of the supplies a long distance by land over the trans-Siberian railroad, whereas we have the advantage of transportation by sea. Probably the Chinese are making insistent demands on the Russians for greatly increased military and economic aid. The Secretary said that he thought it likely that the Russians were more disposed than the Chinese Communists to come to a truce. Chinese Communist influence probably decreased the chances for a truce.

The Secretary said it was the U. S. intention to give the General Assembly a comprehensive and detailed account of the truce negotiations to date. There was an unfortunate tendency on the part of many UN Members to overlook the record and to do nothing on the wishful assumption that a truce is "just around the corner." This unrealistic attitude makes them loath to support further positive action. It is hoped that the exposition of the full record of communist intransigence will result in a big majority vote for a Resolution which will unqualifiedly support the principle of voluntary repatriation, endorse the position taken by the UN negotiators at Panmunjom, oppose any change of venue of the truce talks, and call on the Communists to accept the fair terms already offerred. If the Communists, as expected, do not respond to such an appeal, we must move into the second phase and press for further action in the UN, despite the opposition of many UN Members.

It will

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It will be argued that additional measures would divide the allies, solidify the opposition, fail to weaken Chinese Communist capabilities, and diminish the prospects for a settlement. If the UN state of mind can be changed, these arguments will not be persuasive.

The Foreign Minister said that according to his information the Chinese Communists were using only about one-fifth of their forces in the Korean theater. Chinese Nationalist intelligence reported that they now had about 2000 planes at their disposal, including 800 Jets.

Southeast Asia

The Foreign Minister expressed apprehension as to possible Chinese aggression against Indochina. He said that he had known Ho Chi Minh, who had once been held in China and had been released after the Japanese surrender. He said that Ho Chi Minh was a brilliant individual. He had not always been a Communist. At one time he could have been kept on the non-Communist side. The Minister felt that the French have kept Indochina down in many ways. Economic development has not been fostered. Bona fide nationalism had not been allowed to develop. No adequate corps of Indochinese civil servants has been trained. The Chinese Nationalist Government used to give refuge to many Indochines patriots in Yunnan and Kwongsi provinces. The Minister said that he had personally sent two plane-loads of these refugees to Hong Kong in 1949 to escape the Chinese Communists. He had communicated with Bao Dai at that time. The Foreign Minister expressed doubt that the French could carry on indefinitely in Indochina if the present heavy rate of attrition of officers continues. He mentioned that the officer attrition rate in Indochina was 30% higher than the officer graduation rate at the Ecole Militaire.

As to Malaya, the Foreign Minister said that it had been necessary to encourage an underground movement there during the war as a means of combatting the Japanese. Yeh said that he had used his influence in London during the war to secure British release of Malayan Communists to fight the Japanese. He had aided them in obtaining a supply of arms. This underground had unfortunately become the core of the pro-Communist guerrilla movement in Malaya since the war. This was partly due to the British mishandling of the underground group. The British had failed to live up to their word on an amnesty arrangement. The underground had been told that they would be well treated and given employment if they would surrender and turn in their arms. A small test group did surrender. They thereupon were arrested by the British in violation of the understanding. This had caused the bulk of the insurgents to remain underground and engage in open resistance to the British.

The Foreign Minister said that the Indonesian picture was very disturbing to him. The general outlook throughout Southeast Asia was far from

reassuring

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reassuring. Moscow had assigned the Chinese Communists the leading role in subverting Southeast Asia. They were achieving a considerable measure of success. The non- Communist countries have so far been able to get together on means to counter the Chinese Communist tactics.

Japan.

The Foreign Minister then took up the subject of Japan. He said that Chinese representatives in Japan are submitting many reports which show that the growth of Communist influence in Japan is "startling and frightening." He said that Japanese and Chinese Communists are able to maintain free intercourse by junk across the China sea. They can enter and leave Japan clandestinely almost at will.

The Foreign Minister expressed the view that Japan will be bound to trade with Communist China. Japan must have an outlet for its rapidly expanding manufactures. Japan is not allowed to enter substantially the Malayan market and other markets controlled by the Western powers. Therefore, she will have no alternative but to trade with Communist China. The Foreign Minister asked the Secretary's views on developments in Japan.

The Secretary said that his view is one of tempered optimism. He said that we are not dissatisfied with the way events have developed but we are not complacent either. The Japanese must reconcile themselves to accept a large measure of responsibility for their own defense. They must realize that they cannot follow the easy method of depending entirely on the United States for their protection.

The Foreign Minister said that the Nationalist Government was doing all that it could to foster favorable developments in Japan. He said that the bulk of Formosa's trade -- 60% was with Japan. He said that his Government was trying to improve the bad relations between Japan and Korea. His Government was hoping for an improvement in Japanese-Philippine relations. Japan's relations with the Philippines were not quite as deplorable as her relations with Korea.

Relations with Formosan Natives.

The Foreign Minister referred to the internal situation faced by his Government in Formosa. He said that it was an imperative necessity for his Government to maintain its domestic and international prestige in the eyes of the Formosan natives. While these natives were of Chinese ancestry (mostly from the province of Fukien), they had been somewhat alienated by more than forty-five years of Japanese rule. This explains some of the "political requests" which the Chinese Nationalist Government has deemed it necessary to make of the U. S. Government.

Western

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Western Europe.

The Foreign Minister asked about the situation in Western Europe. The Secretary gave the Foreign Minister a brief summary of NATO developments. He said that despite disappointments and difficulties, a phenomenal achievement had come about in the short span of a year and a half. There is now an international European army in being, something unprecedented in the history of Europe. The Secretary mentioned the outstanding accomplishments of General Ridgway in organizing the NATO Command. He also mentioned the excellent work of Lord Ismay on the civil side of NATO. The Secretary mentioned that the U. S. and the U. K. had already ratified the Western European Defense Pact and that Western Germany was expected to ratify soon. The matter of French ratification was of key importance. It was useless to expect the other countires, such as Italy, the Netherlands, Belgium and Luxembourg to ratify until France had done so. The opposition of Herriot and Deladier to the Pact was a reverse to us. The position of Schumann was difficult and a French Cabinet crisis might develop. The main difficulty is in convincing the Europeans that it is in their interest to follow the hard course rather than the path of least resistance. It is difficult to persuade people to make unpleasant and costly sacrifices when the need is not too obvious to them. The Communist line is to convince the Europeans that they do not need to follow the dangerous and expensive course of privation advocated by the "rough Americans." Stalin has played on this theme in his recent propaganda article.

Miscellaneous

The Foreign Minister asked the Secretary if the Secretary wished to ask any questions about Formosa. The Secretary said he did not have any special questions. He said he had had several good talks with Mr. Rankin when the latter was in Washington recently on consultation. The Secretary again expressed his pleasure at the favorable reports he had received on the course of events in Formosa.

The Foreign Minister asked how long the General Assembly was expected to remain in session. The Foreign Minister added that he would remain in the United States for six weeks, possibly eight weeks.

The Secretary said that while it was always hoped that the General Assembly Sessions would end before Christmas, they usually continued into January. The Secretary hoped that the Session would not drag on very far into 1953, since the period from about December 20 to January 20 will be an exceedingly busy one for American officials. The budget and other annual messages to Congress will have to be prepared around the end of the year, and preparations must be made early in January for the transfer to a new

administration

administration on January 20. The Secretary said that this General Assembly is not one of which large constructive achievements can reasonably be expected. If we can prevent any major disruption, we will be doing well.

The Foreign Minister expressed his appreciation that the Secretary had given him so much of his time, and expressed a wish to maintain contact with the Secretary throughout the General Assembly Session.

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